

PUBLIC FINANCIAL MANAGEMENT SYSTEM (PFMS) DIVISION

STANDARD OPERATING PROCEDURE: TREASURY SINGLE ACCOUNT (TSA) & JUST-IN-TIME (JIT) FUND FLOW FOR MPLADS

Order Circular No. 1(18)/PFMS/FCD/2021-SNA-SPARSH | Effective April 2025

1. Statutory Mandate & Purpose

To enforce the guidelines issued by the Department of Expenditure regarding cash management and zero idle balances in Centrally Sponsored and Central Sector Schemes, MPLADS fund disbursements operate under the Treasury Single Account (TSA) architecture. Funds remain in the Consolidated Fund of India until an authorized milestone invoice is verified for direct vendor payout.

2. Operational Mechanism of JIT Transfer

| Phase           | Action Entity       | Process & Protocol                                                              | SLA / Control   |
|-----------------|---------------------|---------------------------------------------------------------------------------|-----------------|
| 1. Allocation   | MoSPI / CNA         | Authorizes annual expenditure limit into e-Kuber drawing limit                  | Instantaneous   |
| 2. Milestone    | Implementing Agency | Uploads MB (Measurement Book) entry, geo-tagged site photo, and invoice of work | Within 3 days   |
| 3. Verification | District Authority  | Conducts technical check, DSR rate matching, and sanctions                      | Maximum 7 days  |
| 4. Disbursement | RBI e-Kuber / PFMS  | Executes direct credit into vendor bank account via RTGS/NEFT                   | Real-time / T+0 |

3. Elimination of Float and Idle Accounts

Under the TSA model, no implementing district or agency is permitted to maintain physical commercial bank savings accounts for parking MPLADS funds. All pre-existing commercial accounts have been converted to Zero Balance Subsidiary Accounts (ZBSA). Interest accrued is automatically credited back to the Consolidated Fund of India.

4. Automated Sentinel Oversight (PRAHAR)

Every payment instruction passed through PFMS is analyzed in real time by the PRAHAR multi-detector audit engine. Disbursement requests exhibiting vendor concentration anomalies, duplicate billing tokens, or split-tender amounts below statutory tendering thresholds trigger automated audit holds pending manual review.